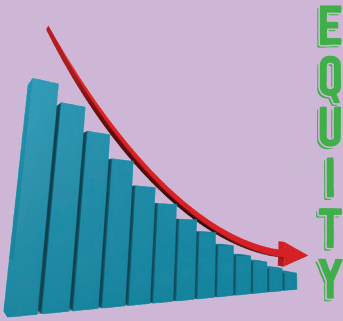
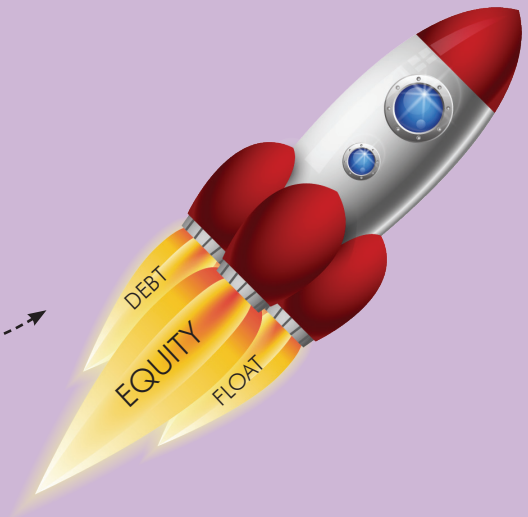




It is also important to look at the past trend of the company's capital structure. We can see that equity as a percentage of the entire capital structure has been decreasing. We need to know the reason behind the same.

Nonetheless, we can see that equity forms the major chunk, i.e., the company is mainly self-financed through shareholders. Debt and float are moderate and do not form a significant part of the capital structure.

In typical analysis, capital structure is usually comprised by equity and debt. However, dividing the capital into three parts makes more economic sense. It presents a more holistic picture and allows for better decision making.



Check the potentially convertible securities, preferred stocks issued, and all types of securities issued by the company.

Convertibles are a particular type of security. There can be convertible preferred shares, convertible debt, etc. These convert into equity after a point of time. Thus, the potentially convertible securities need to be analyzed. On conversion, the security stops behaving like itself and gets converted to common equity shares.

